

Likely Saudi-Houthi escalation raises risk of oil disruptions

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A major Saudi offensive in Yemen is now basecase . Saudi Arabia sought to keep the conflict with the Houthis contained to a simmer, applying limited military pressure (25% odds, down from 55%) that it hoped would eventually lead to a workable compromise (see: Intensifying Saudi-Houthi conflict still likely to fall short of all-out war , 01 September 2026).

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Short-term trajectory:

Long-term trajectory:

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With Riyadh preparing to intensify its air campaign and support for Yemeni government forces after recent Houthi battlefield gains and attacks on Saudi cities and infrastructure, the limited Saudi-Houthi conflict (25%) of the last few months is giving way to a major escalation between the two sides (60%).

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The intensifying conflict will increase risks to Saudi and regional energy exports, as Houthi and Iran-backed Iraqi militia attacks increase, likely keeping Brent around \$90–\$110 per barrel, with upside risk from larger export disruptions.

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Escalation could further strain US-Saudi relations, especially if Riyadh presses for direct US military support in Yemen and Washington demurs, while the less likely scenario of an Iran-backed compromise (15%) would accelerate the diversification of Saudi Arabia's ties away from the United States.

A major Saudi offensive in Yemen is now basecase. Saudi Arabia sought to keep the conflict with the Houthis contained to a simmer, applying limited military pressure (25% odds, down from 55%) that it hoped would eventually lead to a workable compromise (see: Intensifying Saudi-Houthi conflict still likely to fall short of all-out war , 01 September 2026).

Riyadh has now abandoned this approach and is gearing up for an major offensive (60% probability, up from 35%) following unexpected successes by the Iran-sponsored Yemeni militant group against Saudi-backed forces in Yemen and growing attacks on Saudi cities and infrastructure.

The debate in the kingdom about the costs and benefits of such a campaign—particularly the risk of major damage to energy facilities—swung in favor of escalation after the recent attack on the East-West pipeline that temporarily disabled it and the Houthi's strikes against Riyadh's international airport and the holy city of Mecca. Another potential driver of the shift is growing Saudi confidence that it can quickly address any oil flow disruptions, with Saudi Aramco CEO Amin Nasser declaring on 24 September that the company can restore disrupted operations within days.

Saudi Arabia is moving closer to escalation. The Saudi Grand Mufti, the country's top religious authority, issued an uncommon declaration making it a religious obligation for Saudi and allied troops to fight and

defeat the Houthis. Riyadh also called an urgent meeting between the top military leaders of Saudi Arabia, Pakistan, and Turkey as members of the Mecca Joint Defence Agreement in an attempt mobilize direct intervention, arms transfers, training, and other forms of support for the kingdom's military and its Yemeni allies—support which may only partially materialize due to Islamabad and Ankara's hesitation to become deeply entangled in the conflict. France also announced deployments around Saudi energy facilities to defend against Houthi attacks.

The expected Saudi offensive will likely coincide with a push by both Houthi and Yemeni government troops across multiple fronts in Yemen, with efforts by patrons on both sides to provide their respective local partners with greater financing, arms, intelligence, logistical support, training, and battlefield advice. Saudi Arabia will step up its air campaign with backing from the United States and regional allies, with the grand mufti's comments raising the prospect that Saudi ground troops, most likely special forces, operating in Yemen.

An escalating war risks larger disruption of regional energy exports. Saudi escalation against the Houthis would intensify missile and drone attacks by the group and Iran-backed Iraqi Shia militias against the kingdom's critical and energy infrastructure from the north and the south, which would likely further curtail both its Persian Gulf and Red Sea exports in the final quarter of 2026. This escalation will move Brent into the upper end of its current \$90-\$110 per barrel band (see: High oil prices likely throughout 2026 as US-Iran standoff endures , 18 September 2026), with the risk of even higher prices above \$110 per barrel, stemming from a larger disruption of Saudi exports.

Compromise or escalation could exacerbate US-Saudi tensions. An eleventh-hour Iran-backed compromise is not out of the question (15%, up from 10%). Such a deal could be mediated by China, which brokered an Iran-Saudi normalization agreement in 2023, and has pressed the Iranian government in recent weeks to rein in its Houthi ally. Beijing may be motivated by a desire to avoid another major energy price spike. A negotiated off-ramp would deepen Saudi Arabia's détente with Tehran and potentially accelerate Riyadh's pivot away from Washington. However, the Chinese government has proceeded cautiously so far and shown limited appetite to become more deeply enmeshed in diplomacy to resolve regional conflicts. China will almost certainly only enter as a mediator after the difficult disagreements have mostly been worked out.

If the Saudi-led campaign proceeds poorly, Riyadh would likely turn to Washington for more support than the battlefield intelligence and munitions already being provided. This includes further requests for direct military intervention, potentially straining the relationship between Crown Prince Mohammed bin Salman and President Donald Trump. The US president has steered clear of direct military action in Yemen up to this point, reflecting an arrangement with the Houthis that leaves US- and Israeli-linked shipping unscathed.

Washington's longer-term strategy seeks to avoid new military entanglements in the Middle East, instead looking to play the role of an enabler through arming and training partner militaries, and of an integrator that facilitates more intelligence sharing, interoperability, and joint operations. This objective is in tension with Riyadh's needs in the coming period.

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